

bets very carefully and monitor them regularly. And it's why it's very important to remind yourself at all times that whatever you think, you may be wrong.

That said, let's turn to our big beta views. We have two of them. First, we think the "emerging economies" will continue to outperform the developed world. In short, we think there is a very long-term trade to be made. Short the developed world. Go long the emerging world.

BET ON THE LOSERS

Before we explain more fully, let's note two things:

First, this is a trade that only very long-term-oriented investors can make. Over the next year, or the next five, or even the next 10 years, the relative performance of developed and emerging market assets is unpredictable. Anything can happen. So if you're investing for an outcome five years out, you should probably ignore this suggestion all together.

Second, there is nothing particularly original about this view. In fact, the thing that bothers us most about it is that it is so compelling, so obvious, and so widely accepted. The investment gods do not give up their secrets so easily. There must be a trap. We have to find out what it is.

Of course, the trap could be somewhat obvious, too. In the near term, the world seems to be in a Japan-like deleveraging phase. This has the curious consequence of shifting capital from the fast-growing emerging economies to the United States—a slower, more debt-drenched, fully developed economy.

The Japanese syndrome has already lasted 22 years in Japan and 4 years in the United States (depending on how you look at it). If it intensifies—and expands—it is quite likely that the flow of investment capital from the emerging markets to the United States will increase, while the flow of goods and services from the emerging markets to the United States, Europe, and Japan will decrease.

This will have the perverse result of causing the developed world (or at least the United States) to outperform the emerging world for another few years. By then, even long-term investors will have thrown in the towel,